Economics in Action 1
Answers to Exercises — Exam-type questions

Chapter 4 Factors of production

Questions

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1.

In which of the following situations would Hong Kong's labour supply increase?

A. More child care centres are established in every district.
B. More international enterprises open branches in Hong Kong.
C. More Hong Kong people enrol in post-secondary education.
D. The government relaxes the criteria to apply for unemployment benefits.

2.

Which of the following will decrease a firm's average labour productivity?

A. Increasing the degree of division of labour.
B. Hiring workers from other countries.
C. Laying off some workers.
D. Changing from a profit-sharing scheme to a time rate.

3.

Refer to the following data of a firm.

	Year 1	Year 2
Number of workers	80	100
Average working hours of workers	30	35
Total output (units)	240	300

Which of the following are possible reasons for the change in labour productivity from Year 1 to Year 2?

(1) The firm provides more training to its workers.
(2) Some of the machines break down due to lack of maintenance.
(3) The firm switches from piece rates to time rates.
(4) The firm practises division of labour to a greater degree.

A. (1) and (3) only
B. (1) and (4) only
C. (2) and (3) only
D. (2) and (4) only

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4.

Which of the following have the lowest occupational mobility?

A. Taxi drivers
B. Engineers
C. Accounting trainees (見習生)
D. Fresh graduates from university

5.

An economy's occupational mobility of labour will increase if

A. the government increases the quota for working holiday visas.
B. the minimum working age is raised from 16 to 18.
C. there is a higher degree of division of labour.
D. more retraining programmes are offered by trade unions.

6.

The government decided to suspend the discount for using public transport. This would _____ the _____ mobility of local workers.

A. increase …… occupational
B. increase …… geographical
C. decrease …… occupational
D. decrease …… geographical

7.

A troupe (劇團) employs a guitarist. The following are two possible wage payment methods.

Method A: $30,000 per month
Method B: $5,000 per show

From the viewpoint of the troupe, which of the following are possible reasons for using Method B instead of Method A?

(1) It is not difficult to monitor the work performance of the guitarist.
(2) The guitarist can earn a higher income by participating in more performances.
(3) Part of the business risk is transferred to the guitarist.

A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

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8.

Which of the following is most likely paid by a piece rate?

A. A teacher in a secondary school
B. A marker at a public exam
C. A school janitor (校工)
D. A basketball coach

9.

Refer to the following survey results in a factory.

	Jan	Apr
Workers found shirking	2%	5%
Quantity of below standard output	10%	5%

Which of the following is a possible reason for the above change?

A. The firm changed from a piece rate to a time rate.
B. The firm changed from a time rate to a piece rate.
C. The firm changed from a piece rate to a profit-sharing scheme.
D. The firm changed from a time rate to a profit-sharing scheme.

10.

In economics, the owner of a fishing boat rental business provides the factor service of _____ and engages in _____ production.

A. entrepreneurship …… primary
B. entrepreneurship …… tertiary
C. labour …… primary
D. capital …… tertiary

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11.

The following are people and objects that are found at a private tutorial centre:

(1) The premises of the tutorial centre

(2) Tutors

(3) Projectors in classrooms

(4) Notes printed for the students

(5) Textbooks owned by students

Which of the above items are capital of the private tutorial centre?

A. (1), (2) and (3) only

B. (1), (3) and (4) only

C. (2), (4) and (5) only

D. (1), (3), (4) and (5) only

12.

Which of the following statements about land is correct?

A. The supply of land may increase.

B. Land must be a free good.

C. Hydroelectric power1 is an example of land.

D. The return on land is higher than that on capital.

13.

Explain whether a landfill is 'land' in economics. (2 marks)

14.

Refer to the following news report.

> ChatGPT is a large language model-based chatbot. It can generate blocks of text from simple prompts in just a few minutes. As of February 2023, there were over 200 e-books on Amazon's Kindle store listing ChatGPT as an author or co-author.

(a) To which type of factors of production does ChatGPT belong? Explain your answer. (2 marks)

(b) Explain how the use of ChatGPT affects the average labour productivity of authors. (2 marks)

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15.

Refer to the following conversation.

Student: Lowering tuition fees for tertiary education courses will lower the labour supply of an economy.

Teacher: Providing more tertiary education can increase the total output of the economy over time.

Explain why BOTH statements could be correct. (5 marks)

16.

Refer to the following news report.

> Around 2,900 workers at more than 60 UK companies participated in a four-day workweek trial for six months. Under the trial, workers received full pay while working one day less per week and maintaining 100% output.
>
> Results of the trial showed that the companies' revenue remained the same while employees were less stressed and had better work-life balance.

Explain how the four-day workweek trial affected the UK's labour supply and productivity. (4 marks)

17.

Explain how the labour mobility of construction workers will change if

(a) construction companies provide a travel allowance for workers living in other districts. (2 marks)

(b) the government imposes a stricter licence requirement on construction workers, requiring more specialised skills and training for different types of licences. (2 marks)

18.

Explain why it is undesirable to pay foreign domestic helpers by a piece rate. (2 marks)

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19.

The following is a job advertisement for couriers.

Courier (快遞員)
Deliver 25-40 packages each day
Salary: $20 per package + Keeps all the tips

Explain ONE advantage and ONE disadvantage of the above wage payment method over a time rate

(a) from the viewpoint of the employer. (4 marks)

(b) from the viewpoint of couriers. (4 marks)

20.

Amy is the owner of a minibus company. The company has 27 minibuses and operates 3 routes. She drives one of the minibuses and also employs drivers at a daily wage of $800.

(a) To what types of factors of production does Amy belong? Explain. (4 marks)

(b) State ONE advantage of the above wage payment method from the viewpoint of

(i) Amy.

(ii) minibus drivers. (2 marks)

(c) Amy has found that drivers often shirk at the terminals, causing delayed trips. After she changed the wage payment method, she received complaints that drivers usually overlooked passengers waiting at the minibus stops.

(i) Suggest the possible new wage payment method that may have caused the above complaints. (1 mark)

(ii) List TWO other disadvantages to Amy of adopting the new wage payment method. (2 marks)

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Answers

1. A

2. D

3. C

Year 1: $\frac{240}{80 \times 30} = 0.1$ units/man-hour

Year 2: $\frac{300}{100 \times 35} = 0.09$ units/man-hour

4. B

5. D

6. D

7. B

8. B

9. A

10. B

11. B

12. A

13.

No, because (1 mark)

it is a man-made resource to help provide waste treatment services. (1 mark)

14.

(a) Capital, because (1 mark)

it is a man-made resource used in production. (1 mark)

(b) Increase, because (1 mark)

the number of books created per man-hour will increase. (1 mark)

15.

Student: When more students choose to study after graduating from secondary schools, fewer young people are available for work, lowering the current labour supply. (2 marks)

Teacher: The improvement in education will increase the quality of labour over time, resulting in an increase in labour productivity in the future. The total output of the economy can increase despite a decrease in labour supply. (3 marks)

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16.

Labour supply decreased because the average working hours decreased. (2 marks)
Labour productivity increased because the output level remained the same with fewer working hours. Output per working hour increased. (2 marks)

17.

(a) Their geographical mobility of labour will increase, because (1 mark)
travelling to other districts for work is less costly. (1 mark)

(b) Their occupational mobility of labour will decrease, because (1 mark)
their skills are more specialised and it is more difficult to transfer to another occupation. (1 mark)

18.

Since their tasks change frequently and are non-standardised, the cost of measuring their output is very high. (2 marks)

19.

(a) Advantage:

- Couriers tend to work faster and provide better services / have higher labour productivity as they can earn a higher income.
- The employer can transfer some business risks to the couriers because he pays the couriers only when they deliver a package.
- The cost of monitoring couriers' performance is lower as they have more incentive to work fast and provide better services.

(Any ONE of the above or other reasonable answers. 2 marks)

Disadvantage:

- As couriers may rush to deliver more packages, the risk of damaging packages is higher.
- The employer cannot receive the extra income (i.e., tips) as it is kept by the couriers.

(Any ONE of the above or other reasonable answers. 2 marks)

(b) Advantage: The couriers can earn a higher income if they work faster / provide better services. (Or other reasonable answers. 2 marks)
Disadvantage: Couriers' income is unstable as the number of packages is not guaranteed. (Or other reasonable answers. 2 marks)

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20.

(a) Entrepreneurship because she bears business risk and makes production decisions. (2 marks)
Labour because she provides human effort to drive a minibus. (2 marks)

(b) (i) Lower cost of calculating wage payments (1 mark)
(ii) Stable income (1 mark)

(c) (i) Piece rate / Paid by the number of rides (1 mark)
(ii)
- Higher cost measuring output
- Higher cost of monitoring the quality of services
- Higher maintenance cost as drivers tend to drive fast

(Any TWO of the above or other reasonable answers. 1 mark × 2 = 2 marks)

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